

Coca-Cola

4Q23 & 2024 Preview: Favorable Set-Up Makes KO a Top Pick for 2024

The Coca-Cola Company (KO, Overweight-rated) is scheduled to report 4Q23 earnings results on Tuesday, February 13, before the open. We left our 4Q23 estimates unchanged, including OSG +9.6% (concentrate shipment basis, or +8.6% unit case volume basis) and EPS of \$0.48, which compares to consensus +9.3% and \$0.49 (actual EPS delta is <\$0.01) and implied company guidance of +6-10% and \$0.45-\$0.48 by our math. For 2024, we lifted our OSG estimate slightly to +5.9% (from +5.6%) and our revenue estimate to +4.9% (from +4.2%), but our EPS remains unchanged at \$2.80 (+4.4% YOY) after building in headwind from initial escrow deposit to fund IRS tax dispute appeal (we are not yet reflecting Philippines refranchising as we await for more accounting details). We note that CCEP has just received regulatory approval yesterday, Jan 30th. Current consensus calls for 2024 OSG of +6.3% and EPS of \$2.80.

- **Setup into Initial 2024 Guidance.** For 2024 we expect the company to land toward the upper end of its LT algorithm (+4-6% OSG, +7-9% FX-neutral EPS), although KO prudently hasn't raised the bar yet (like N-rated PEP) and likely has more upside to estimates. We expect the company to guide to organic revenues in the range of +5-6% (current JPMe +5.9% and Consensus Metrix +6.3%). On the bottom-line, given likely headwinds from FX and potentially higher net interest expense, we think the company could guide initially to a +MSD% EPS growth (current JPMe +4.4% and consensus +4.6%).
- **Drivers in Place for High End of LT Outlook Including Volume Growth.** First, KO has a solid path to generating +LSD% volume growth as there should be continued momentum in developing and emerging markets (primary driver of volumes) and the company has demonstrated strong ability to continue to drive transactions/volumes growth despite more pressured affordability in certain markets and leveraging technology and marketing to drive incidence and penetration. Second, KO is better positioned than most (in our view) to continue leveraging sophisticated revenue growth management (RGM) capabilities, in addition to front-line pricing, to drive price/mix contribution that could continue to be above-trend in CY24. Third, USD has weakened incrementally over the past couple months, which should benefit KO as one of the companies with the most international exposure within our coverage (U.S. accounts for 17% of global unit case volume and 36% of net operating revenues) and the company had already been guiding to a more onerous FX outlook for CY24 with 3Q23 earnings (i.e., likely upside to initial outlook). Fourth, we see KO as having good flexibility within the P&L to mitigate any potential one-off issues that arise during the year, which gives us more confidence in the company at least achieving its EPS growth outlook.

Overweight

KO, KO US

Price (30 Jan 24):\$59.90

▲ **Price Target (Dec-24):\$64.00**

Prior (Dec-24):\$62.00

Beverage, Household & Personal Care Products

Andrea Teixeira, CFA ^{AC}

(1-212) 622-6735

andrea.f.teixeira@jpmorgan.com

Bloomberg JPMA TEIXEIRA <GO>

Drew Levine, CFA

(1-212) 622-0374

drew.levine@jpmorgan.com

Shovana Chowdhury

(1-212) 270-2184

shovana.chowdhury@jpmorgan.com

J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 24E (\$ mn)	47,372	47,692

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2022A	2023E	2024E
Q1	0.64	0.68A	0.73
Q2	0.70	0.78A	0.82
Q3	0.69	0.74A	0.75
Q4	0.45	0.48	0.50
FY	2.48	2.68	2.80

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	83	81	81	82	86
Growth	19	18	30	61	96
Momentum	55	50	49	87	29
Quality	8	19	15	18	71
Low Vol	1	1	1	16	1
ESGQ	46	2	4	16	30

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 15 for analyst certification and important disclosures.

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Price Performance



Company Data

Shares O/S (mn)	4,321
52-week range (\$)	64.99-51.55
Market cap (\$ mn)	258,827.90
Exchange rate	1.00
Free float(%)	89.8%
3M - Avg daily vol (mn)	14.02
3M - Avg daily val (\$ mn)	820.5
Volatility (90 Day)	16
Index	S&P 500
BBG BUY HOLD SELL	22 7 0

Key Metrics (FYE Dec)

\$ in millions	FY22A	FY23E	FY24E	FY25E
Financial Estimates				
Revenue	43,046	45,481	47,692	50,069
Adj. EBITDA	13,605	14,425	15,323	16,328
Adj. EBIT	12,345	13,269	14,148	15,034
Adj. net income	10,803	11,635	12,150	12,887
Adj. EPS	2.48	2.68	2.80	2.97
BBG EPS	2.48	2.68	2.80	2.99
Cashflow from operations	11,018	11,485	12,897	13,672
FCFF	9,534	9,585	10,902	11,577
Margins and Growth				
Revenue Growth Y/Y (%)	11.4%	5.7%	4.9%	5.0%
Total Organic Sales Growth (%)	-	-	-	-
Gross margin	58.6%	59.5%	59.7%	59.9%
EBITDA margin	31.6%	31.7%	32.1%	32.6%
EBITDA Growth Y/Y (%)	8.3%	6.0%	6.2%	6.6%
EBIT margin	28.7%	29.2%	29.7%	30.0%
Net margin	25.1%	25.6%	25.5%	25.7%
Adj. EPS growth	6.8%	7.9%	4.4%	6.1%
Ratios				
Net debt/EBITDA	2.1	2.0	2.1	1.8
ROIC	-	-	-	-
ROE	45.9%	47.8%	51.8%	53.3%
Valuation				
FCFF yield	3.7%	3.7%	4.2%	4.5%
Dividend yield	2.9%	3.1%	3.2%	3.4%
EV/Revenue	6.3	5.9	5.7	5.4
EV/EBITDA	19.9	18.7	17.8	16.6
Adj. P/E	24.1	22.4	21.4	20.2

Summary Investment Thesis and Valuation

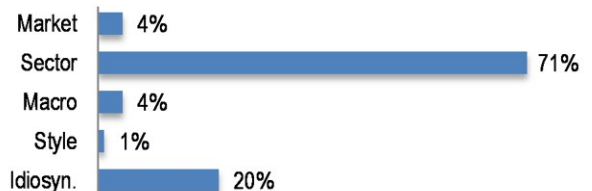
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening and is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target of \$64 based on 21.6x P/E (5-year average premium applied to multi-national peer average multiple) off our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our \$64 price target implies ~7% upside in the next ~11 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.27	0.21
Sect: Cons Staples	0.86	0.86
Ind: Food Bev & Tobacco	0.75	0.80
Macro:		
US Dollar	-0.35	-0.24
Non-Energy Commodity	0.41	0.22
US 10yr yield	-0.25	-0.18
Quant Styles:		
Growth	-0.58	-0.50
LowVol	0.01	0.36
DivYld	0.33	0.24

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **KO a Top Pick in Beverages for 2024, Valuation Still Relatively Attractive.** We flagged KO as one of our top picks for 2024 as a high-quality defensive name that checks a lot of boxes from a fundamental perspective that we see as key themes for the year. Relative to closest peer PEP, we see KO as having a clearer path to volume growth in 2024, more upside to estimates, and less of a narrative overhang (e.g., GLP-1). YTD KO has outperformed PEP (KO +1.7% vs. PEP -0.1%), although KO has been slightly lagging Staples ETF XLP (+2.0%). Despite outperformance vs. peers over past few months (KO NTM P/E premium to PEP now back to +LSD%), relative to S&P 500 valuation is near recent historic lows at just +LSD% premium (vs. 1-/5-/10-year average +18%/+29%/+24%), reflecting sector rotation (more risk-on) despite still high rates as well as broad sector concerns around top-line and GLP-1. Our Dec-24 target price moves to \$64 (from \$62) based on 21.6x P/E (5-year average premium applied to multi-national peer average) off our 2025E EPS of \$2.97.
- **4Q23 Expectations.** We are forecasting 4Q23 EPS of \$0.48 (unchanged), which compares to current Bloomberg consensus \$0.49 (actual difference <\$0.01). Our organic growth estimate on unit case volume basis of +8.6% (unchanged) compares to the apples-to-apples Consensus Metrix estimate of +8.3%, and both JPMe and CM model for a 100 bps delta between concentrate shipments and unit case volume given extra day in 4Q, resulting in OSG utilizing concentrate shipments of +9.6% for JPMe and +9.3% for CM. JPMe models for +6.5% price/mix vs. CM +6.2%. We are in-line with the Street on margins (EBIT margins JPMe 23.2% vs. consensus 23.2%) with both our gross margin (JPMe 57.1% vs. consensus 57.2%) and SG&A margin (JPMe 34.0% vs. consensus 34.0%) in-line. We elaborate further inside.

Thoughts on 2024 Outlook

We flagged KO as one of our top picks for 2024 and as a high-quality defensive name in our 2024 Year Ahead published on December 19th 2023. We think KO checks a lot of boxes from a fundamental perspective that we see as key themes for the year. We expect the company to land toward the upper end of its LT algorithm (+4-6% OSG, +7-9% FX-neutral EPS), although we believe KO prudently hasn't raised the bar yet (like N-rated PEP) and likely has more upside to estimates. First, KO has a solid path to generating +LSD% volume growth as there should be continued momentum in developing and emerging markets (primary driver of volumes) and the company has demonstrated strong ability to continue to drive transactions/volumes growth despite more pressured affordability in certain markets and leveraging technology and marketing to drive incidence and penetration. Second, KO is better positioned than most (in our view) to continue leveraging sophisticated revenue growth management (RGM) capabilities, in addition to front-line pricing, to drive price/mix contribution that could continue to be above-trend in CY24. Third, USD has weakened incrementally over the past couple months, which should benefit KO as one of the companies with the most international exposure within our coverage (U.S. accounts for 17% of global unit case volume and 36% of net operating revenues) and the company had already been guiding to a more onerous FX outlook for CY24 with 3Q23 earnings (i.e., likely upside to initial outlook). Fourth, we see KO as having good flexibility within the P&L to mitigate any potential one-off issues that arise during the year, which gives us more confidence in the company at least achieving its EPS growth outlook. Some of these include expected initial escrow deposit of ~\$5.6bn (latest estimate as of end of September 2023) to appeal the U.S. Tax Court ruling regarding the IRS dispute with the company ([link](#)) and likely

completion of refranchising of the company's Philippines bottling operations (expected to close by end of February 2024). We currently model for the outflow of \$5.6bn in 2Q24 to fund the tax case appeal (for now, assuming funded by cash and results in lower interest income, but management noted there are a number of different options). We are not modeling for the Philippines bottler refranchising yet as the transaction was just approved by regulators yesterday. CCEP press release notes the definitive agreement to acquire 100% of CCBPI from KO values the operations at \$1.8 billion on a debt-free, cash-free basis and that in 2022 the operations generated \$1.7 billion in revenues and \$90 million profit before tax (i.e., likely headwind from loss of profit partially offset by share repurchase or interest income and higher bottler equity income).

Net-net, we expect the company to guide to organic revenues in the range of +5-6% (current JPMe +5.9% and Consensus Metrix +6.3%). On the bottom-line, given likely headwinds from FX and potentially higher net interest expense, we think the company could guide initially to a +MSD% EPS growth (current JPMe +4.4% and consensus +4.6%).

Outlook for Revenue Growth

From a guidance perspective, as noted above we think KO could initially guide to +5-6%, which at the high end would be largely in-line with JPMe +5.9% and CM +6.3% and toward the higher end of the company's long-term algorithm. This initial range could provide enough flexibility if the macro environment softens but also likely upside if the consumer environment holds up as we see a solid path to +LSD% volumes and +MSD% price/mix.

Within our +5.9% OSG estimate we model for +1.9% unit case volume growth (same on concentrate shipments) and +4.0% price/mix vs. current CM of +6.3%, including +2.2% unit case volume (+2.5% concentrate shipments) and +3.8% price/mix. We're confident in KO's path to deliver volume growth in 2024 as consistent delivery of a ~2% unit case volume CAGR over the past four years despite any number of headwinds and unprecedented pricing should give investors confidence that it can continue to capitalize on whitespace opportunities and meet the consumer where they are from a product, pack, and channel perspective and drive continued momentum in developing and emerging markets. We expect price/mix to remain a key driver again on the top-line as the company continues to leverage RGM across geographies, including taking pricing with local market inflation (i.e., hyperinflation markets should still likely be a contributor into next year given initial currency outlook of a -LSD% headwind).

Looking beyond organic growth, on FX, as we detail below, KO provided initial guidance for currency to be a -LSD% headwind to the top-line based on spot rates in late October and hedged positions and since then the USD has moderated. We think KO could be toward the lower end of a -LSD% headwind for FX in 2024. We also note that we have yet to incorporate the refranchise of KO's Philippine bottling operations, as we mentioned above. Consensus seems to be a mix of estimates with/without the Philippines bottling transaction, but the headwind from a top-line perspective could be in the 3-4% range (based on \$1.7 billion sales in 2022). In the table below, we outline our 2024 forecasts vs. consensus.

Table 1: 2024E Revenue Build JPMe vs. Consensus

Revenue Build	2024E		JPMe
	JPMe	Consensus	vs. cons (bps)
Organic Revenue	5.9%	6.3%	(37)
EMEA	6.3%	7.1%	(76)
Latin America	9.4%	9.7%	(29)
North America	3.3%	4.1%	(83)
Asia-Pacific	7.5%	7.0%	46
Global Ventures	8.0%	6.8%	120
BIG	7.0%	5.9%	110
Unit Case Volume	1.9%	2.2%	(26)
EMEA	0.9%	1.6%	(66)
Latin America	2.2%	2.5%	(25)
North America	0.3%	1.1%	(83)
Asia-Pacific	3.5%	3.9%	(44)
Global Ventures	5.0%	3.3%	170
BIG	5.0%	3.5%	150
Concentrate Sales	1.9%	2.5%	(56)
EMEA	0.9%	2.0%	(106)
Latin America	2.2%	2.7%	(45)
North America	0.3%	1.4%	(113)
Asia-Pacific	3.5%	3.7%	(24)
Global Ventures	5.0%	4.2%	80
BIG	5.0%	3.3%	170
Price/Mix	4.0%	3.8%	19
EMEA	5.4%	5.1%	30
Latin America	7.2%	7.0%	16
North America	3.0%	2.7%	30
Asia-Pacific	4.0%	3.3%	70
Global Ventures	3.0%	2.6%	40
BIG	2.0%	2.7%	(70)
FX	-1.4%	-2.3%	86
M&A/Other	0.0%	-1.5%	150

Source: Consensus Metrix and J.P. Morgan estimates.

Outlook for Margins

We expect core operating margin expansion largely in-line with the 50 bps implied by the long-term algorithm, although there could be more margin expansion with the closing of the Philippines bottler refranchising (i.e., \$90 million PBT in 2022 on \$1.7 billion revenue is a roughly 5% PBT margin vs. company average 31-32%). We see ongoing price/mix flow through and concentrate shipment growth as more than offsetting moderate inflationary and currency headwinds, although overall we see modest gross margin expansion potential. More leverage should come in the middle of the P&L with solid top-line growth and discipline on operating expenses partially offset by increased advertising investment to sustain strong commercial execution. Net-net, we are modeling for gross margin expansion of +21 bps in 2024 and operating margin expansion of +49 bps.

On the earnings front, there are likely to be a number of headwinds and potential headwinds to 2024 between FX, ongoing inflationary pressures in certain commodities, geopolitical volatility, refranchising (although partially offset by share repurchases if proceeds received from nonoperating activities), and incremental expense/lost income when KO has to put money into escrow to appeal the IRS tax case, although with prospects for strong top-line performance and ability to leverage the middle of the P&L (bias to reinvest, but can pull lever), we still see KO as well positioned to generate EPS growth next year. Our 2024 EPS forecast of \$2.80 (+4.4% YOY) is in-line with the Bloomberg consensus. We think the company could initially guide to +MSD% EPS growth in 2024, which could embed HSD% FX-neutral EPS growth partially offset by -LSD% to the low end of -MSD% FX headwinds (i.e., 1.5-2x multiplier from revenue to EPS).

Table 2: JPMe 2024E vs. Bloomberg Consensus

\$ m, except per share values

	2024E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons
Net Sales	47,691.6	46,937.0	4.9%	1.6%
Gross Profit	28,487.1	28,065.5	5.2%	1.5%
Operating Income	14,147.9	13,895.4	6.6%	1.8%
Interest, Net	915.4			
Net Income	12,149.6	12,122.5	4.4%	0.2%
Shares Outstanding	4,342.0		0.0%	
EPS	\$2.80	\$2.80	4.4%	-0.1%

	2024E		bps	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons
Sales Growth	4.9%	3.3%	(80)	158
Gross Margin	59.7%	59.8%	21	(6)
SG&A Margin	30.1%	30.2%	(28)	(12)
EBIT Margin	29.7%	29.6%	49	6

Source: Bloomberg Finance L.P. and J.P Morgan estimates.

4Q23 Earnings Outlook

Date: Tuesday, February 13

Estimated Release Time: 6:55 AM ET

Conference Call Details:

Time: 8:30 AM ET

Dial-in: +1-888-415-4465 Pin: COKE IR

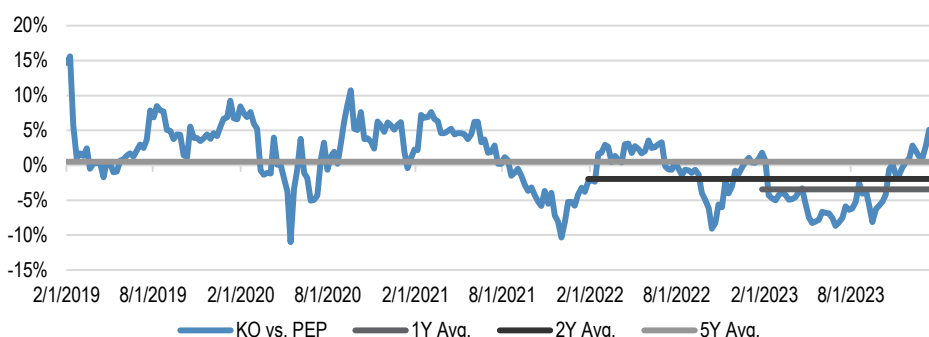
The Coca-Cola Company (KO, Overweight rated) is scheduled to report 4Q23 earnings results on Tuesday, February 13, before the market open. We left our 4Q23 estimates unchanged including OSG of +9.6% (using concentrate shipments, or +8.6% using unit case volume) and EPS of \$0.48 versus the current consensus of OSG +9.3% (or +8.3% using unit case volume) and \$0.49, respectively. Our EPS estimate is actually less than a penny delta to consensus but rounds up. KO's 2023 guidance for +10-11% OSG and comparable EPS growth of +7-8% vs. \$2.48 in 2022 implies 4Q23 OSG of +6-10% and EPS of \$0.45-\$0.48 by our math. Within our 4Q23 OSG outlook, we model for +2.1%

unit case volumes, +3.1% concentrate shipments, +6.5% price/mix, -3.7% FX, and -1.2% M&A while CM models for +2.1% unit case volumes, +3.1% concentrate shipments, +6.2% price/mix, -3.3% FX, and -1.0% M&A. We discuss more on the top-line below.

While we think KO has been a preferred name in Beverages given the stronger setup into 2024, relative to the S&P 500 valuation has rarely been this attractive. Specifically, YTD KO has outperformed PEP (KO +1.7% vs. PEP -0.1%), although KO has been slightly behind Staples ETF XLP (+2.0%). Despite outperformance vs. peers over past few months (KO NTM P/E premium to PEP now back to +LSD%), relative to S&P 500 valuation is near recent historic lows at just +LSD% premium (vs. 1-/5-/10-year average +18%/+29%/+24%), reflecting sector rotation (more risk-on) despite still high rates as well as broad sector concerns around top-line and GLP-1.

Figure 1: KO Shares Back at LSD% Premium to PEP on NTM P/E – Now Above Recent Historical Averages

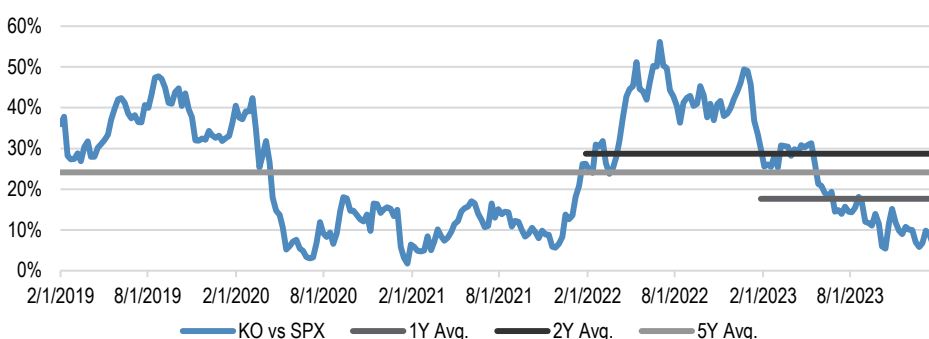
KO NTM P/E Relative Premium/Discount vs. PEP



Source: Bloomberg Finance L.P.

Figure 2: KO Shares at MSD Premium to SPX - Lowest Since COVID & Tax Issues, Almost Never this Cheap on Relative Basis

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

We Are Essentially In-Line with Consensus (EPS Delta Rounds to a Penny) for 4Q23

On the top-line, our +4.4% estimate (including +9.6% organic on concentrate shipment basis, -3.7% FX, and -1.2% M&A) is 40 bps ahead of consensus (+4.0% including +9.2% organic, -3.3% FX, and -1.0% M&A - delta due to number of estimates). We are in-line with the Street on margins (EBIT margins JPMe 23.2% vs. consensus 23.2%) as both our gross margin (JPMe 57.1% vs. consensus rounded up to 57.2%) and SG&A (JPMe 34.0% vs. consensus 34.0%) are in-line.

Our gross margin forecast of 57.1% embeds 70 bps expansion YOY, following ~130 bps expansion in 3Q23 (~150 bps underlying expansion) and YTD ~100 bps expansion (~120 bps underlying expansion). Many of the drivers of gross margin expansion should remain in place, but likely at a more moderate pace in 4Q as price/mix moderates, commodities remain somewhat of a headwind (e.g., inflation in some like sugar and juice and favorability in others like freight), and there should be some benefit from bottler refranchising (Cambodia and Vietnam), while FX should remain a headwind. Our SG&A forecast of 34.0% of sales is 30 bps unfavorable YOY driven mostly by expectations for heavier marketing and innovation reinvestment.

All in, our 4Q23 EPS estimate of \$0.48 is a penny below the current Bloomberg consensus estimate of \$0.49 due to rounding (actual difference \$0.005).

Table 3: JPMe 4Q23E and 2023E vs. Bloomberg Consensus

\$ m, except per share values

	4Q23E		Y/Y	JPMe	2023E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons	JPMe	Consensus	%	vs. cons
Net Sales	10,645.4	10,606.1	4.4%	0.4%	45,481.4	45,447.7	5.7%	0.1%
Gross Profit	6,083.7	6,061.6	5.7%	0.4%	27,071.7	27,033.7	7.3%	0.1%
Operating Income	2,465.1	2,457.2	6.3%	0.3%	13,269.1	13,250.8	7.5%	0.1%
Interest, Net	131.2				624.2			
Net Income	2,088.4	2,103.6	7.8%	-0.7%	11,635.4	11,604.7	7.7%	0.3%
Shares Outstanding	4,342.0		-0.1%		4,341.8		-0.2%	
EPS	\$0.48	\$0.49	7.9%	-1.0%	\$2.68	\$2.68	7.9%	0.1%
	4Q23E		bps	JPMe	2023E		Y/Y	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons	JPMe	Consensus	bps	vs. cons
Sales Growth	4.4%	4.0%	(324)	39	5.7%	5.6%	(569)	8
Gross Margin	57.1%	57.2%	70	(0)	59.5%	59.5%	91	4
SG&A Margin	34.0%	34.0%	30	1	30.3%	30.3%	42	2
Operating Profit Margin	23.2%	23.2%	40	(1)	29.2%	29.2%	50	2
Tax Rate	19.3%				19.0%			

Source: Bloomberg Finance L.P., and J.P. Morgan estimates.

Organic Revenue Growth

Overall comparisons get easier sequentially in 4Q from an organic growth perspective both YOY and on a 3Y CAGR basis (lapping +15% YOY OSG and +6.7% 3Y CAGR vs. in 3Q lapped 16% OSG and +7.1% 3Y CAGR). On a unit case volume basis the company faces its easiest lap of the year, lapping a -1.0% decline in 4Q22 (vs. +4.0% in 3Q22) and +1.5% on a 3Y CAGR basis (vs. +1.9% in 3Q22), and there are a number of reasons to be optimistic on unit case volume growth in 4Q23 not only because of the easier comparison but also as operational momentum improved throughout 3Q23 (even while generating +2% unit case volume growth) and a couple of headwinds should

abate. We also note that from a concentrate sales perspective, there is an extra calendar day in 4Q23. At the same time, benefit from price/mix should moderate further sequentially (has decelerated each quarter in 2023) as higher-than-historical pricing actions are lapped, although there will still likely be some benefit to price/mix from hyperinflationary markets.

For 4Q23, we are expecting unit case volume performance relatively flat sequentially at +2.1%, which conservatively embeds a slight deceleration in the 4Y CAGR trend to +1.7% in 4Q vs. +1.9% in 3Q, but we could see some potential for upside to our estimate. The +2% unit case volume performance in 3Q23 came despite some headwinds including poor summer weather in Europe, still lapping Russia exit, and macro softness in China and certain other markets — importantly, volume performance improved sequentially each month throughout the quarter, the company saw improved performance in Europe exiting 3Q23, and Russia is now fully lapped. Moreover, as we note below, volume performance in the U.S. appears to have improved slightly during 4Q23. Price/mix should continue to be a strong tailwind in 4Q in the MSD-HSD% range. Of the 9% of price/mix in 3Q23, around 2.5-3.0 points was driven by hyperinflationary markets, around 2 points was driven by carryover pricing, 3 points was incremental pricing in 2023, and around 1 point was driven by mix (mostly geographic mix). Given the currency devaluation in markets like Turkey, Zimbabwe, and Argentina, we expect the contribution to price/mix from hyperinflation to be relatively consistent sequentially and the company should continue to see benefit from normal course pricing actions while the off-cycle benefit in developed markets like U.S. and Europe is now fully in the base.

All in, we are forecasting 4Q23 OSG of +8.6% (unit case volume +2.1%, price/mix +6.5%) versus the apples-to-apples CM forecast of +8.3% (unit case volume +2.1%, price/mix +6.2%). This quarter, given the extra calendar day in 4Q, both JPMe and consensus are forecasting a 1 point delta between unit case volume and concentrate shipments (i.e., both JPMe and CM modeling for concentrate shipments +3.1%). As such, utilizing concentrate shipments in calculating OSG would lead to JPMe +9.6% vs. CM +9.3%. On unit case volumes, we are slightly above consensus in Latin America and Asia Pacific and below consensus in EMEA.

On a regional basis, our OSG forecasts are as follows: +11.0% in EMEA (unit case volume flat, price/mix +11.0%), +17.5% in Latin America (unit case volume +5.5%, price/mix +12.0%), +3.5% in North America (unit case volume -0.5%, price/mix +4.0%), +9.0% in Asia Pacific (unit case volume +3.0%, price/mix +6.0%), +7.0% in Global Ventures (unit case volume +2.0%, price/mix +5.0%), and +8.0% in BIG (unit case volume +4.0%, price/mix +4.0%).

Our +2.1% unit case volume growth estimate in 4Q23 implies a 4Y CAGR of +1.7%, which is a slight deceleration from YTD through 3Q23 of +1.9% (also +1.9% in 3Q23). While consumer demand appears relatively resilient, we see developing and emerging markets carrying the volume growth looking ahead while it seems like developed markets could be a bit more pressured from a volume perspective given consumer softness and increasing private label penetration in some of the more commoditized categories, although we see ~+2% unit case volume (+/-) from a CAGR perspective as largely in-line with the building blocks to the company's long-term +MSD% top-line algorithm.

Our +6.5% price/mix estimate implies 127% of 2019 levels vs. 3Q23 126%, 2Q23 131%, and 1Q23 12-%. At a high level, the company should see moderating price/mix benefit as off-cycle pricing in U.S. and Europe is lapped, but there should still be benefit from incremental pricing put in during 2023 (likely ~3.0%), impact from hyperinflationary markets (likely ~2.5-3.0%), and some benefit from mix.

The regional breakdown of our organic revenue growth estimates vs. consensus (measured by Consensus Metrix) is below.

Table 4: 4Q23E JPM Organic Revenue Estimates vs. Consensus

Revenue Build	4Q23E		JPM
	JPM	Consensus	vs. cons (bps)
Organic Revenue	8.6%	9.2%	(57)
EMEA	11.0%	14.0%	(300)
Latin America	17.5%	16.8%	70
North America	3.5%	4.9%	(140)
Asia-Pacific	9.0%	8.0%	100
Global Ventures	7.0%	7.4%	(40)
BIG	8.0%	9.1%	(110)
Unit Case Volume	2.1%	2.1%	5
EMEA	0.0%	1.3%	(130)
Latin America	5.5%	4.4%	110
North America	-0.5%	0.1%	(60)
Asia-Pacific	3.0%	1.8%	120
Global Ventures	2.0%	2.0%	0
BIG	4.0%	3.8%	20
Concentrate Sales	3.1%	3.1%	3
EMEA	0.0%	1.5%	(150)
Latin America	6.5%	5.4%	110
North America	0.5%	1.1%	(60)
Asia-Pacific	5.0%	5.0%	0
Global Ventures	3.0%	3.3%	(30)
BIG	5.0%	4.6%	40
Price/Mix	6.5%	6.2%	29
EMEA	11.0%	12.6%	(160)
Latin America	12.0%	11.6%	40
North America	4.0%	3.9%	10
Asia-Pacific	6.0%	3.2%	280
Global Ventures	5.0%	4.1%	90
BIG	4.0%	4.4%	(40)
FX	-3.7%	-3.3%	(38)
M&A/Other	-1.2%	-1.0%	(17)

Source: Consensus Metrix and J.P. Morgan estimates.

US Tracked Channel Trends +LSD% in 4Q23; Decelerated Sequentially YOY as Unit Decline Improvement More Than Offset by Price/Mix Moderation

Within the tracked channels during L13W 12/30/23, KO's overall dollar takeaway trends decelerated sequentially to the high end of +LSD% range from +MSD% in L13W 9/30/23, although on a 4Y CAGR basis dollar sales growth actually accelerated slightly sequentially driven by an improvement in the unit sales trajectory. Deceleration sequentially on a YOY basis was driven entirely by a moderation in price/mix (price per unit +5.2% L13W 12/30/23 vs. +8.3% L13W 9/30/23) while unit sales decline improved slightly sequentially (-2.1% L13W 12/30/23 vs. -2.4% L13W 9/30/23). It appears at this point that the promotional environment on the whole has largely normalized with YOY increases in % of \$ sold on promo and TDP on promo now slightly above pre-pandemic levels (i.e., % of \$ sold on promo 20 bps above pre-pandemic and TDP on promo 50 bps above pre-pandemic vs. in prior L13W 9/30/23 % of \$ sold on promo -250 bps below pre-pandemic and TDP on promo -150 bps below pre-pandemic).

All-in, dollar sales growth of +3.1% L13W 12/30/23 decelerated -270 bps sequentially from prior L13W 9/30/23 dollar sales growth of +5.9%.

3- and 4-Year CAGRs Accelerated Sequentially, 2-Year CAGR Decelerated but Still Solid

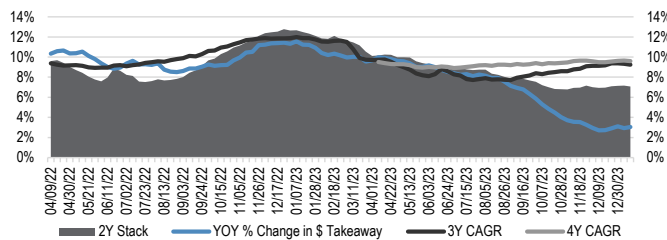
On a 2Y CAGR basis, KO dollar takeaway L13W 12/30/23 decelerated to +7.1% from +7.6% L13W 9/30/23 with comparisons roughly 200 bps tougher sequentially (i.e., lapping +11.3% growth L13W 12/31/22 vs. +9.3% L13W 10/1/22). Looking at a 3Y CAGR, KO's dollar takeaway of +9.4% accelerated 100 bps from prior L13W 9/30/23 of +8.4%. On a 4Y CAGR basis, KO's dollar takeaway of +9.6% accelerated a slight +20 bps sequentially from +9.4% in prior L13W 9/30/23 and as we noted above the acceleration was driven largely by an improvement in the unit growth trajectory (still negative at -0.5%, which improved from -0.9% L13W 9/20/23, but in the context of sustained +10.2% price/mix on 4Y CAGR basis the unit trends appear solid).

CSD Trends Decelerate to +MSD% from +HSD% As Pricing Moderates; KO Still Performing Better Than the Category

In CSDs, tracked channel trends for KO decelerated sequentially in L13W 12/30/23 to +4.0% (vs. category ex-KO +3.2%) from +7.4% L13W 9/20/23 (vs. category +7.1%) with a sequential improvement in EQ volumes (-0.1% L13W 12/30/23 vs. -0.7% L13W 9/20/23) more than offset by a deceleration in price per EQ (+4.0% L13W 12/30/23 vs. +8.2% L13W 9/30/23). KO's outperformance vs. the category of roughly +80 bps L13W 12/30/23 widened from about +30 bps in L13W 9/30/23 and the company's value share in CSDs in L13W 12/30/23 was up nearly +20 bps YOY vs. +6 bps YOY in L13W 9/30/23. On a 2Y basis KO share gains of +104 bps L13W 12/30/23 compares to +108 bps in L13W 9/30/23. Dollar takeaway for KO's CSDs on a 4Y CAGR basis was +10.6% L13W 12/30/23, which decelerated slightly from +10.8% L13W 9/30/23 while the category ex-KO was flat sequentially at +9.9% L13W 12/30/23.

Figure 3: KO Trends +LSD% in 4Q, Decelerated Sequentially; 4Y CAGR Still +HSD%

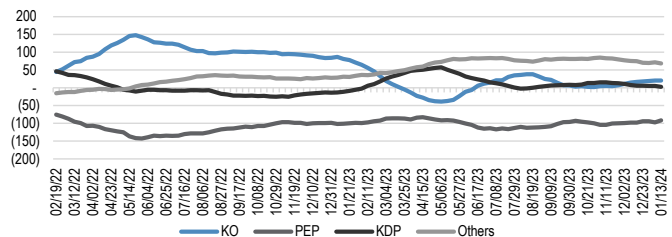
YOY % Change in \$ Takeaway (13-Weeks) vs. 2-Year Stack (left-axis); 3Y & 4Y CAGR (right-axis)



Source: NielsenIQ.

Figure 4: KO CSD Market Share Moderated but Positive and Improved Sequentially

\$ Market Share YOY (13-Weeks)



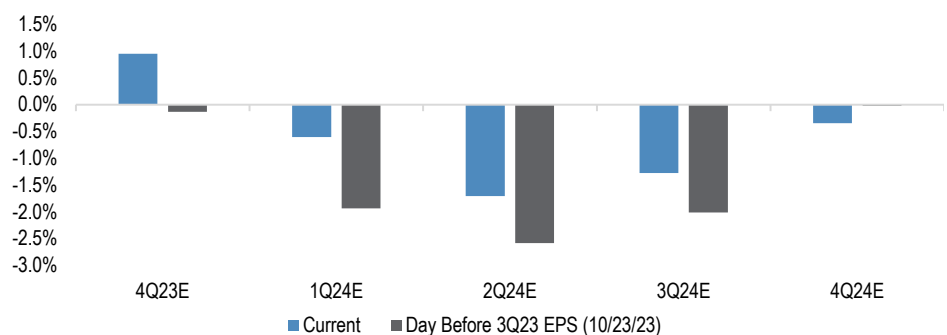
Source: NielsenIQ.

Updated FX Outlook

With the company's 3Q23 earnings results on October 24th, management updated its outlook for currency to be a headwind of -4% to the top-line and -6% to the bottom-line (from -3% to -4% to top-line and -4% to -5% to bottom-line before). Additionally, in 4Q23 the company expects currency to be a -4% headwind to revenues and -8% headwind to EPS. Further, for 2024 the company noted it expected currencies to be a -LSD% headwind to revenues and -MSD% headwind to EPS.

Since the company reported results in late October, the USD has weakened a bit with the DXY U.S. Dollar Index lower by about -2% since October 23 (trading day prior to earnings). Our currency model suggests that FX improved by roughly 110 bps for 4Q23 relative to when KO reported results, although given hedging and impact of hyperinflationary markets it's likely that KO doesn't realize much of the improvement implied by our currency model and as such we leave our FX estimate for 4Q23 unchanged at -3.7% (vs. Consensus Metrix -3.3%). For 2024, FX headwinds should be more moderate than prior estimates given USD weakening, although likely still in the -LSD% range. We adjusted our 2024 FX estimate to -1.4% from -2.0% previously and vs. CM -2.3%.

Figure 5: USD Has Softened Since KO's 3Q23; Currency Model Currently Suggesting ~1% FX Headwind for 2024



Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Coca-Cola (Overweight; Price Target: \$64.00)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening, and it is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target of \$64 based on 21.6x P/E (5-year average premium applied to multi-national peer average multiple) off our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our \$64 price target implies ~7% upside in the next ~11 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) negative resolution in the tax dispute with the IRS (not contemplated in our model); (2) the uncertainty around potential impact of GLP-1 drugs on demand longer-term; (3) further margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY21A	FY22A	FY23E	FY24E	FY25E		1Q23A	2Q23A	3Q23A	4Q23E	
Revenue	38,658	43,046	45,481	47,692	50,069	Revenue	10,959A	11,966A	11,911A	10,645	
COGS	(15,410)	(17,817)	(18,410)	(19,204)	(20,062)	COGS	(4,282)A	(4,859)A	(4,707)A	(4,562)	
Gross profit	23,248	25,229	27,072	28,487	30,007	Gross profit	6,677A	7,107A	7,204A	6,084	
SG&A	(12,139)	(12,884)	(13,803)	(14,339)	(14,973)	SG&A	(3,189)A	(3,327)A	(3,668)A	(3,619)	
Adj. EBITDA	12,561	13,605	14,425	15,323	16,328	Adj. EBITDA	3,774A	4,061A	3,826A	2,764	
D&A	(1,452)	(1,260)	(1,156)	(1,175)	(1,295)	D&A	(286)A	(281)A	(290)A	(299)	
Adj. EBIT	11,109	12,345	13,269	14,148	15,034	Adj. EBIT	3,488A	3,780A	3,536A	2,465	
Net Interest	(500)	(457)	(624)	(915)	(1,025)	Net Interest	(210)A	(156)A	(127)A	(131)	
Adj. PBT	12,427	13,377	14,367	15,063	15,954	Adj. PBT	3,693A	4,137A	3,924A	2,613	
Tax	(2,308)	(2,545)	(2,735)	(2,937)	(3,111)	Tax	(748)A	(760)A	(723)A	(504)	
Minority Interest	(33)	(29)	4	24	44	Minority Interest	(6)A	26A	4A	(20)	
Adj. Net Income	10,086	10,803	11,635	12,150	12,887	Adj. Net Income	2,939A	3,403A	3,205A	2,088	
Reported EPS	2.32	2.48	2.68	2.80	2.97	Reported EPS	0.68A	0.78A	0.74A	0.48	
Adj. EPS	2.32	2.48	2.68	2.80	2.97	Adj. EPS	0.68A	0.78A	0.74A	0.48	
DPS	1.67	1.75	1.86	1.94	2.06	DPS	0.02A	0.46A	0.46A	0.92	
Payout ratio	71.9%	70.5%	69.2%	69.5%	69.4%	Payout ratio	3.4%A	58.4%A	62.1%A	190.6%	
Shares outstanding	4,340	4,351	4,342	4,342	4,342	Shares outstanding	4,345A	4,341A	4,339A	4,342	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY21A	FY22A	FY23E	FY24E	FY25E		FY21A	FY22A	FY23E	FY24E	FY25E
Cash and cash equivalents	9,684	9,519	9,682	2,233	1,553	Gross margin	60.1%	58.6%	59.5%	59.7%	59.9%
Accounts receivable	3,512	3,487	3,408	3,714	4,028	EBITDA margin	32.5%	31.6%	31.7%	32.1%	32.6%
Inventories	3,414	4,233	4,549	4,823	5,095	EBIT margin	28.7%	28.7%	29.2%	29.7%	30.0%
Other current assets	5,935	5,352	7,231	7,463	7,693	Net profit margin	26.1%	25.1%	25.6%	25.5%	25.7%
Current assets	22,545	22,591	24,870	18,233	18,370	ROE	47.7%	45.9%	47.8%	51.8%	53.3%
PP&E	9,920	9,841	9,460	10,280	11,080	ROA	11.1%	11.5%	12.4%	13.2%	14.3%
LT investments	818	501	104	104	104	ROCE	14.4%	15.7%	17.1%	19.1%	21.3%
Other non current assets	61,071	59,830	60,747	60,747	60,747	SG&A/Sales	31.4%	29.9%	30.3%	30.1%	29.9%
Total assets	94,354	92,763	95,181	89,364	90,301	Net debt/equity	1.3	1.1	1.1	1.3	1.1
Short term borrowings	3,307	2,373	3,915	3,915	3,915	P/E (x)	25.8	24.1	22.4	21.4	20.2
Payables	14,619	15,749	16,180	16,970	17,734	P/BV (x)	11.3	10.8	10.6	11.6	10.0
Other short term liabilities	2,024	1,602	3,686	3,281	2,824	EV/EBITDA (x)	21.9	19.9	18.7	17.8	16.6
Current liabilities	19,950	19,724	23,782	24,166	24,473	Dividend Yield	2.8%	2.9%	3.1%	3.2%	3.4%
Long-term debt	38,116	36,377	34,176	30,176	27,176	Sales/Assets (x)	0.4	0.5	0.5	0.5	0.6
Other long term liabilities	11,428	10,836	11,160	11,160	11,160	Interest cover (x)	25.1	29.8	23.1	16.7	15.9
Total liabilities	69,494	66,937	69,118	65,502	62,809	Operating leverage	79.9%	98.0%	132.3%	136.3%	125.6%
Shareholders' equity	22,999	24,105	24,555	22,354	25,984	Revenue y/y Growth	17.1%	11.4%	5.7%	4.9%	5.0%
Minority interests	1,861	1,721	1,508	1,508	1,508	EBITDA y/y Growth	11.1%	8.3%	6.0%	6.2%	6.6%
Total liabilities & equity	94,354	92,763	95,181	89,364	90,301	Tax rate	18.6%	19.0%	19.0%	19.5%	19.5%
BVPS	5.30	5.54	5.66	5.15	5.98	Adj. Net Income y/y Growth	19.6%	7.1%	7.7%	4.4%	6.1%
y/y Growth	18.7%	4.5%	2.1%	(9.0%)	16.2%	EPS y/y Growth	19.1%	6.8%	7.9%	4.4%	6.1%
Net debt/(cash)	31,835	28,587	28,157	31,606	29,286	DPS y/y Growth	2.5%	4.8%	6.0%	4.7%	6.0%
Cash flow from operating activities	12,625	11,018	11,485	12,897	13,672						
o/w Depreciation & amortization	1,452	1,260	1,156	1,175	1,295						
o/w Changes in working capital	1,325	(605)	(729)	(23)	(54)						
Cash flow from investing activities	(2,765)	(763)	(3,322)	(1,995)	(2,095)						
o/w Capital expenditure	(1,367)	(1,484)	(1,900)	(1,995)	(2,095)						
as % of sales	3.5%	3.4%	4.2%	4.2%	4.2%						
Cash flow from financing activities	(6,786)	(10,250)	(7,943)	(18,351)	(12,257)						
o/w Dividends paid	(7,252)	(7,616)	(8,056)	(8,439)	(8,946)						
o/w Net debt issued/(repaid)	228	(958)	1,219	(4,000)	(3,000)						
Net change in cash	2,915	(200)	184	(7,449)	(680)						
Adj. Free cash flow to firm	11,258	9,534	9,585	10,902	11,577						
y/y Growth	29.9%	(15.3%)	0.5%	13.7%	6.2%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Companies Discussed in This Report (all prices in this report as of market close on 30 January 2024, unless otherwise indicated)

PepsiCo(PEP/\$169.62/N)

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
01-Feb-21	N	48.15	51
19-Apr-21	N	53.68	56
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62

PepsiCo (PEP, PEP US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 25, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
05-Feb-21	OW	139.68	151
12-Feb-21	OW	134.97	152
12-Apr-21	OW	142.57	155
01-Jul-21	OW	148.17	154
13-Jul-21	OW	149.51	171
04-Feb-22	OW	175.37	185
30-Mar-22	OW	168.19	180
22-Apr-22	OW	174.84	183
27-Apr-22	OW	173.30	186
06-Jul-22	OW	169.01	185
13-Jul-22	OW	169.50	188
30-Sep-22	OW	166.61	186
13-Oct-22	OW	169.39	188
17-Jan-23	OW	175.24	189
09-Feb-23	OW	171.16	190
17-Apr-23	OW	183.51	196
26-Apr-23	OW	189.71	201
13-Jul-23	OW	183.17	203
03-Oct-23	OW	169.17	188
10-Oct-23	OW	161.36	185
19-Dec-23	N	168.91	176

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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IB clients**	48%	43%	32%
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